

# Identifying High-Quality Target Companies

## METHODOLOGY

### 1. Approach & Mindset

The objective of this exercise was not just to compile a list of companies, but to build a **repeatable and scalable system** to identify high-quality Ideal Customer Profile (ICP) leads with supporting evidence. I approached the problem with two guiding principles:

- **Maximize data richness and ICP density** rather than just volume
- **Automate repetitive tasks, not judgment**

This meant using automation for data gathering and filtering, while retaining manual control over high-impact decisions such as classification, validation, and scoring.

The scope was narrowed to:

- **Geography:** Hyderabad
- **Segments:**
  - Custom synthesis & specialty chemicals
  - Performance chemicals

### 2. Dataset Creation & Expansion

The first step was identifying **reliable, publicly available sources** such as:

- Industry directories (Chemexcil, TSIIC, MSME databases)
- Export/import databases
- Company websites and LinkedIn
- Government and regulatory listings

Instead of attempting to directly generate a perfect list, I followed an **iterative expansion approach**:

1. Started with an initial dataset of ~45 companies
2. Validated and retained high-quality entries
3. Expanded the dataset by exploring similar companies from the same sources

This ensured that the dataset evolved toward **relevance rather than randomness**.

### 3. Data Validation & Pre-Filtering

Before deeper analysis, I ensured that each company had a **functional website**, as it was essential for downstream evaluation.

- **58 → 46 companies** after website validation

### 4. Multi-Layer Filtering Framework

To systematically narrow down the dataset, I designed a **3-layer filtering pipeline**:

### **Layer 1 — Hard Rejection (Automated + Quick Validation)**

**Objective:** Remove obvious mismatches

Criteria:

- Manufacturer vs non-manufacturer
- Hyderabad presence

Signals used:

- “manufacturing facility”, “plant”, “production unit”
- Location mentions

This layer was partially automated using a lightweight scraping script and keyword detection.

- **46 → 28 companies retained**

### **Layer 2 — Basic Qualification (Manual + Assisted)**

**Objective:** Remove structurally irrelevant companies

Removed:

- CRO / service-heavy companies
- Generic pharma (bulk APIs, formulations)
- Companies with revenue > ₹500Cr

Revenue filtering was done manually using available public indicators.

- **28 → 23 companies retained**

At this stage, I revisited previously flagged companies to avoid false negatives:

- Re-evaluated borderline entries
- Added **3 additional valid companies**

### **Layer 3 — Priority Filtering (Core Evaluation)**

**Objective:** Identify high-quality ICP companies

Each company was evaluated using the **Federer Scoring Framework (C1–C6)**:

- **C1 — Manufacturer**
- **C2 — India-based**
- **C3 — Differentiation**
- **C4 — Technical Decision Maker**
- **C5 — Sector Tailwinds**
- **C6 — Growth Signals**

## 5. Hybrid AI + Manual Evaluation System

To ensure both efficiency and accuracy, I used a **two-step AI-assisted pipeline**:

| Step       | Tool       | Role                       |
|------------|------------|----------------------------|
| Extraction | Perplexity | Gather factual information |
| Evaluation | ChatGPT    | Apply scoring logic        |

Each company was processed **individually (not in batches)** to maintain accuracy.

To prevent hallucination:

- AI outputs were **restricted to extracted facts**
- Each evaluation was **manually verified (~1 min per company)**

This hybrid approach ensured:

- speed from automation
- accuracy from human judgment

## 6. Final Dataset Construction

After filtering and validation:

- Final dataset: **26 companies**
- All companies satisfied:
  - Manufacturing presence
  - Hyderabad location
  - Revenue < ₹500Cr
  - Non-service / non-CRO

## 7. Data Structuring & Output Generation

The final step involved converting unstructured analysis into structured outputs:

- Used **Claude** for consistent formatting into tabular structures
- Generated:
  1. **Detailed sheets (one per company)**
  2. **Final consolidated sheet ranked by Federer Score**

Automation was used strictly for:

- formatting
- structuring

No analytical decisions were delegated at this stage.

## KEY LEARNINGS

### 1. **Automation has limits**

Fully automating decision-making led to inaccuracies. The most effective approach was **automation + controlled human validation**.

### 2. **Company positioning is often misleading**

Many firms appear as manufacturers but are actually CRO/CDMO or service-driven. Careful distinction based on **production scale and business model** was critical.

### 3. **Quality > quantity in ICP building**

Starting with a larger dataset and filtering down produced significantly better results than trying to directly identify “perfect” companies.

### 4. **Signals are more reliable than labels**

Terms like “specialty” or “advanced” are often marketing language. Real indicators were:

- facilities
- certifications
- founder background
- growth activity

## CONCLUSION

The final output is not just a list of companies, but a **validated, evidence-backed ICP dataset** built through a repeatable system combining:

- structured filtering
- signal-based evaluation
- hybrid AI + manual validation

This approach ensures both **scalability and decision quality**, which is essential for real-world business development and consulting workflows.